to its conclusion, without any resort to regulatory forbearance once again.

Sometimes, easier monetary policy is proposed as an answer to reducing the bad debt problem. For the heavily indebted promoter, however, easier monetary policy will typically bring no relief. Even with lower policy rates, the bank, which is typically not made whole even if it grabs all the borrower's cash flows, has no incentive to reduce the interest rate the borrower can pay. And few banks are competing for that borrower's business, so there is no competition to force down loan rates. The bottom line is that easier monetary policy is no answer to serious distress, contrary to widespread belief.

WHAT CAN THE GOVERNMENT DO?

The government is in the process of speeding up the debt recovery process, and creating a new bankruptcy system. These are important steps to improve the resolution process. In the near term, however, two actions will pay large dividends.

The first is to improve the governance of public sector banks so that we are not faced with this situation again. The government, through the Indradhanush initiative, has sent a clear signal that it wants to make sure that public sector banks, once healthy, stay healthy. Breaking up the post of Chairman and Managing Director, strengthening board and management appointments through the Banks Board Bureau, decentralizing more decisions to the professional board, finding ways to incentivize management, all these will help improve loan evaluation, monitoring and repayment.

The second is to infuse bank capital, with some of the infusion related to stronger performance, so that better banks have more room to grow. Capital infusion into weak banks should ideally accompany an improvement in governance, but given the need for absorbing the losses associated with balance sheet clean-up, better that government